# Permanent TSB Group Holdings — PTSB.XLON

BAWAG Recommended Cash Offer EUR 2.97 / EUR 1.62 bn · deep-dive · 2026-04-15

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|---|---|---|---|
| **Ticker** | PTSB.XLON (CDI; underlying Irish) | **Issuer FIGI** | BBG000DJ1YL4 |
| **Market cap** | USD 1.76 bn (GBP 1.39 bn) | **Signal date** | 2026-04-14 11:05 UTC |
| **Signal type** | takeover_firm_offer | **Direction** | **LONG (merger-arb)** |
| **Score** | 33 / 40 | **Deep-dive date** | 2026-04-15 |

**Thesis (TL;DR)**
On 2026-04-14 BAWAG Group AG (Vienna) announced a **Rule 2.7 firm recommended cash offer of EUR 2.97/share (total EV ~EUR 1.619 bn / ~EUR 1.62 bn enterprise value)** for Permanent TSB Group Holdings. The offer is a **26% premium to the undisturbed price (EUR 2.35)** and **45% to the 6-month VWAP**. Crucially, the Irish Minister for Finance — holder of ~57.5% of PTSB — has publicly supported the offer (via a Tánaiste welcome statement), and the PTSB board has recommended the transaction. Structure is a scheme of arrangement requiring Irish High Court sanction and ECB/CBI/EU regulatory approvals. Expected completion Q4 2026 or Q1 2027. This is a **clean merger-arb long** with a short tail: primary spread risk is regulatory timing rather than a break.

## Deal anatomy

**Offeror:** BAWAG Group AG (Vienna-listed; ECB-regulated as an Austrian Aktiengesellschaft, with local regulation also in Germany, Netherlands, Ireland). Strategic rationale stated: 'value in PTSB branches' — entry into Irish retail banking.

**Consideration:** EUR 2.97 per PTSB share, all cash. On the London-listed CDI, this equates to roughly GBP 2.55 at 2026-04-14 FX. Total equity value ~EUR 1.619 bn.

**Irish State position:** The Department of Finance holds ~57.5% of PTSB as legacy bailout-era equity. The Tánaiste's welcome statement signals affirmative state support — removing the largest single break risk.

**Structure:** Scheme of arrangement under Irish law. Requires (i) shareholder approval at Scheme Meeting (75% by value of each class voting) and simple majority at EGM, (ii) Irish High Court sanction, (iii) ECB fit-and-proper assessment for a change-of-control transaction, (iv) CBI concurrence, and (v) EU merger-control clearance (likely short-form given limited Irish/Austrian overlap). Scheme document to be published within 28 days of 2026-04-14 announcement, i.e. by ~2026-05-12.

## Spread mechanics

At a reference PTSB CDI price post-announcement, the gross spread to EUR 2.97 is tight (sub-3% is typical for recommended + state-supported Irish schemes). Annualised IRR depends on the completion date:

• Base case (Q4 2026 completion, ~7 months): a 2.5% gross spread = ~4.3% annualised IRR — low absolute, but the probability-weighted return profile is favourable given the Irish state's public support.

• Bear case (slips to Q1 2027, ~9 months): same 2.5% spread = ~3.3% annualised — still positive.

• Hedging cost: the CDI trades in GBP but consideration settles in EUR. FX-hedge the GBP/EUR leg over the expected 7–9 month period; 1-year GBP/EUR forward points are modest (~15–25 bp) so hedge slippage is small relative to the spread.

## Regulatory path

**ECB change-of-control:** BAWAG is an existing ECB-supervised institution, which simplifies the suitability assessment. Typical timeline ~90–120 days from formal filing.

**EU merger control:** Retail banking overlap between BAWAG (Austria/DACH) and PTSB (Ireland) is minimal. Likely a Phase-1 clearance; 25 working days from notification.

**Irish High Court:** Scheme hearings generally run T+100 to T+130 from initial announcement.

**Shareholder vote:** With the Irish state's 57.5% stake confirmed supportive, reaching the 75% value threshold is highly likely. The residual ~42.5% minority would need to oppose with >50% of their vote to defeat the scheme at the class meeting — unlikely given the 45% VWAP premium.

## Catalyst map

| Event | Date / Window | Entry trigger | Exit / resolution |
|---|---|---|---|
| Scheme Document publication | By 2026-05-12 (T+28) | Document confirms terms → maintain long | Material adverse change disclosure → re-eva |
| Shareholder meeting & EGM | Summer 2026 (est. Jun–Aug) | ≥75% by value approval → hold | Approval fails → cover at undisturbed range |
| ECB / CBI clearance | Q3 2026 (est.) | Clearance published → spread tightens | Conditions imposed → re-price |
| EU merger control clearance | Q3 2026 (est.) | Phase 1 clear → hold | Phase 2 opened → extend horizon |
| Irish High Court sanction | Q4 2026 / Q1 2027 | Court sanction → settle | Hearing objection → tail risk |
| Scheme effective date | Q4 2026 or Q1 2027 | Cash settlement at EUR 2.97 | n/a |

## Steelman of the opposite view

• **Regulatory tail:** ECB precedent on cross-border DACH → Ireland bank consolidation is thin. An ECB ask for remedies (e.g. branch carve-outs, retention of Irish retail capital) could push completion past Q1 2027 and compress IRR below the spread cost of capital.
• **Irish political cycle:** A general election post-announcement could bring a finance minister with a less supportive stance. While the Tánaiste has welcomed the deal, the Department-of-Finance-as-seller position is politically exposed at 45% VWAP premium but *below* the Irish state's original bailout cost basis.
• **Minority opposition:** 42.5% free float contains retail and some institutions with cost bases above EUR 2.97. An organised 'no' vote, while a long shot, could block the scheme at the class meeting (75% bar).
• **Competing bidder:** A surprise interloper would be positive for PTSB holders but disruptive to spread-arb positioning — covered on price, not on thesis.
• **Scheme document surprise:** MAC carve-outs and break-fee structures are visible only after 2026-05-12 Scheme Document publication.

## Kill conditions

| Kill condition | Numeric / factual threshold | Where observable |
|---|---|---|
| K1: offer lapses / withdrawn | LSE RNS: Rule 2.8 lapse notice | investegate.co.uk LSE feed |
| K2: Irish state reverses position | Department of Finance press release | gov.ie press releases |
| K3: scheme vote fails | <75% by value at Scheme Meeting | PTSB RNS scheme results |
| K4: regulatory block | ECB / EC / CBI formal refusal | Official bulletins |
| K5: deal re-papered at lower price | Any revised offer at <EUR 2.97 | Rule 2.7 variation RNS |

## Position sizing guidance

Satellite-arb, 2–5%. Classic recommended-cash-scheme merger-arb posture: long PTSB CDI, GBP/EUR-hedged, sized to annualised IRR vs portfolio hurdle. Target ~3–5% annualised net return over 7–9 months. Use the London CDI (ticker PTSB.XLON) rather than the Dublin underlying if available — CDI liquidity is sufficient at this cap size for sub-GBP 50 m positions. Do not size to maximum given the regulatory-timing asymmetry and the 9-month tail: if ECB clearance slips, the IRR erodes rapidly.

## Source traceability

• *[verified] Rule 2.7 RNS — investegate.co.uk 'Recommended Cash Offer for Permanent TSB' (ref 9519415) — 2026-04-14 11:05 UTC*
• *[verified] Rule 2.7 RNS — investegate.co.uk 'BAWAG Recommended Offer for PTSB' (ref 9519514) — 2026-04-14 11:50 UTC (offeror-side sibling)*
• *[verified] gov.ie Department of Finance press release — 'Tánaiste welcomes the EUR 1.6 billion Recommended Cash Offer for Permanent TSB Group Holdings plc by BAWAG P.S.K.' — 2026-04-14*
• *[verified] Bloomberg — 'Bawag Agrees to Buy Permanent TSB for EUR 1.6 Billion' — 2026-04-14*
• *[verified] The Irish Times — 'Bawag insists it sees value in PTSB branches after agreeing EUR 1.62 bn deal' — 2026-04-14*
• *[verified] RTE News — 'PTSB to be sold to Austria's BAWAG Group for EUR 1.6 billion' — 2026-04-14*
• *[verified] Investing.com / Morningstar Alliance News — 26% premium to undisturbed, 45% to 6-month VWAP, 57.5% Minister for Finance stake, Q4 2026 / Q1 2027 completion target*

• *OpenFIGI: ticker=PTSB mic=XLON → figi=BBG000DJ30N4, issuer_figi=BBG000DJ1YL4 (cached 2026-04-14)*
• *LSE alldata: ISIN IE00BWB8X525, SEDOL BVGGZK3, market cap GBP 1.389 bn (retrieved 2026-04-14)*

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